

leverage averaged 21 percent annualized with a standard deviation of only 7 percent.

Why did you shut the program down in 2002 when it had such a strong return/risk track record?

There were a couple of reasons. First, returns seemed to be declining. I had no idea whether this trend was temporary or permanent, but I suspected it would continue because there was much more money chasing the same strategy than ever before. We could have attempted to continue innovating to stay ahead of the trend and keep returns up, but that would have meant a lot of thinking and effort on my part. At that point, I said to myself, *Life is getting shorter; it is time to do some other things*. Another reason for shutting down the fund was that I had a couple of key employees who wanted a much larger share of the pie—an unreasonably large amount, I thought—so I said, “That is too much, good-bye.”

Did you ever again look at how the program was performing?

We did look at it a few years ago. It was running at about 8 percent annualized, which is not too bad in a 2 percent world, but not good enough to make me want to go back and do it.

What was your involvement with David Shaw, who was another relatively early practitioner of statistical arbitrage?

In 1988, David Shaw had left Solomon and was looking for someone to fund him in a statistical arbitrage startup. I didn’t know exactly what he wanted when he came out here, but we talked for about six hours, and it seemed that his strategy was redundant with ours. So we parted on friendly terms.

So it was basically a matter of you both realizing that you were working on the same thing, and there really wasn’t a match.

That is exactly right.

What did you do after you shut down the statistical arbitrage fund in 2002?

I managed my investments in other people’s hedge funds.